

that can be used to make online payments for products and services, as well as regular transfers of cash between people. It is also traded online, like fiat currencies, in an online currency exchange known as Mt. Gox.

What is a digital currency?

It's important to understand the term digital currency to understand Bitcoin's role as a currency. Digital currency or electronic money, exists as an alternative to normal currency and has seen various forms over the past few years. As of yet, it has not found any national or institutional backing across nations and has only been experimented with in smaller communities.

Other forms of virtual currencies like in-game money or closed system currencies are only valuable within the confines of their systems in virtual economies. Bitcoin as a digital currency has found the widest acceptance to use for real world goods and services without virtual world limitations.

The most conventional form of digital currency has come to include web-based wire transfers, machine withdrawals, online credit card use and digital bill payments that use electronic means to make payments. However, these are based on a very broad definition of digital currency that is simply an extension of the traditional economic system (system of exchange) that is still rooted to fiat currencies and only transfers records of credit and dues using the internet as a communications protocol.

Decentralised and Crypto

Two key features of Bitcoin as a successful digital currency are - decentralisation and cryptography. Unlike fiat currencies or theoretical fiat digital currencies, Bitcoin is decentralised, which basically means that it isn't regulated or managed by a single institution or person. Bitcoin is based on a peer-to-peer distributed network and regulated by an open source network system that regulates the production of Bitcoins on a clearly understood and transparent logic.

Since there is no single authority behind Bitcoin's management the fear of currency manipulation through increased production or institutional devaluation is removed. This allows the adoption of the currency to be more welcoming as users don't have to have trust in a bank or agency, but in the system itself that ensures no means of external manipulation.

Bitcoin is also a cryptocurrency which makes it an ideal digital medium of exchange as compared to other virtual currencies. It is also the first